

books come out annually via traditional publishers.¹¹⁴ Sturgeon's law suggest 30,000 of them are not crap—and that number seems generous.

Now think about what this means if we run the same exercise for mutual funds, ETFs, private equity, hedge funds, venture capital, annuities, etc. The vast majority of financial products aren't worth your time or money. Even most publicly traded stocks are filler, as market returns are driven by a tiny percentage of equities.

3. “To make better, more informed decisions about the future, we advise people to have ‘strong opinions, which are weakly held.’”—Bob Johansen, Palo Alto Institute for the Future¹¹⁵

The future is subject to random and unexpected events, which change the short-term course of history. We learn our information is incomplete or wrong. Sometimes, a very low-probability event occurs, dashing our expectations.

Whatever my views are about the economy, markets, my portfolio, etc., I am always ready to discard them as I amass sufficient evidence my beliefs are wrong. “Strong opinions weakly held” means reversing your priors when necessary, cutting losses quickly, and never marrying any holding or belief system—ever.

4. “All models are wrong, but some are useful.”—George E. P. Box

We don't live in objective reality, we function in a model of our own construction. Our brains generate mental outlines, continually filling in missing information to create a 360-degree world within which we operate. This useful evolutionary trait has allowed the human species to thrive in a world that is hostile to us soft, chewy creatures lacking claws, fangs, or armor.